

Table 61.10 Trading Tactics

Trading Tactic	Explanation
Measure rule	Compute the formation height from the highest high to lowest low in the pattern and then subtract the result from the lowest low. The result gives a target price. Use the lower portion of this table to see how often this method works.
Underlying support	Before trading, check for support zones and avoid trading a stock with nearby support.
Early entry	If the valley between the first two peaks is below the valley between the last two peaks, use the more recent valley as the confirmation price instead of the lowest low in the pattern.
Wait for confirmation	Wait for price to close below the breakout (the lowest low or trendline break) before shorting the stock.

Description	Bull Market	Bear Market
Percentage reaching quarter height target	69%	71%
Percentage reaching half height target	47%	49%
Percentage reaching full height target	23%	24%
Percentage reaching 2× height	7%	8%

Once you have a target located, change the potential drop into a percentage to see if it is realistic. If you're unsure, then use [Table 61.3](#) to help gauge the drop. In our example the breakout price is about 35, so the decline would be 16/35 or 46%. [Table 61.3](#) shows that in bear markets 80% of patterns will fail to see price drop more than 35% and 95% will fail to see price drop more than 50%. So expecting a 46% decline is unrealistic.

Underlying support. Before trading the chart pattern, check for underlying support. Underlying support will tell you how far price is likely to decline. If underlying support is too close to the breakout or too robust, then search for another trade.